OFFERING MEMORANDUM

Dunmore Pelican Data Campus | Naperville, IL

Property	Dunmore Pelican Data Campus
Location	8740 Medical Center Drive, Naperville, IL 92877
Property Type	Data Center
Size	189,984 SF
Year Built	1990
Offering	Unpriced - Offers Due July 21, 2019

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 7.2% with an equity multiple of 1.32x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns.

Projected levered IRR is 6.3% with an equity multiple of 1.46x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Market Overview

Investor demand for Data Center assets in Naperville remains strong with recent trades at capitalization rates between 5.64% and 5.64%. Median household income within a 4-mile radius of the property is approximately $332,000 and has grown 9.4% annually. Market vacancy for comparable Data Center product stands at 6.9%, down from 3.2% two years ago. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Dunmore Pelican Data Campus is located in Naperville, IL, a market that has recorded 3.9% population growth over the last five years.

Rent growth in the submarket has averaged 4.7% annually over the past 7 years. The facility is a purpose-built data center with 4 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Median household income within a 7-mile radius of the property is approximately $158,000 and has grown 10.2% annually. Investor demand for Data Center assets in Naperville remains strong with recent trades at capitalization rates between 6.71% and 6.71%.

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The facility is a purpose-built data center with 43 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Distributions to investors for the quarter were paid at an annualized rate of 7.2% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Projected levered IRR is 3.0% with an equity multiple of 1.7x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The facility is a purpose-built data center with 4 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Market Overview

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Business Plan Progress

Projected levered IRR is 12.7% with an equity multiple of 1.45x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The facility is a purpose-built data center with 29 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Supply and Demand

Median household income within a 2-mile radius of the property is approximately $19,000 and has grown 11.1% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Investor demand for Data Center assets in Naperville remains strong with recent trades at capitalization rates between 5.69% and 5.69%. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Median household income within a 3-mile radius of the property is approximately $319,000 and has grown 2.0% annually. Investor demand for Data Center assets in Naperville remains strong with recent trades at capitalization rates between 7.15% and 7.15%. Market vacancy for comparable Data Center product stands at 9.8%, down from 4.2% two years ago. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Carrier-neutral meet-me room supports multiple fiber providers. Rent growth in the submarket has averaged 6.1% annually over the past 9 years.

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital. Projected levered IRR is 11.5% with an equity multiple of 1.42x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

The facility is a purpose-built data center with 25 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Supply and Demand

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The Naperville Data Center market has experienced absorption of 4700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Data Center assets in Naperville remains strong with recent trades at capitalization rates between 7.14% and 7.14%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The facility is a purpose-built data center with 15 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Rent growth in the submarket has averaged 6.6% annually over the past 7 years. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Investment Overview

The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 4.6% with an equity multiple of 1.18x over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Disclaimer and Confidentiality

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Dunmore Pelican Data Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of IL. Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Dunmore Pelican Data Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Time is of the essence with respect to each and every provision of this instrument. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Dunmore Pelican Data Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Dunmore Pelican Data Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of IL. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Dunmore Pelican Data Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Dunmore Pelican Data Campus and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only